

‘If you ask around, you will find more believers than disbelievers in the technology story. Experience tells me that it is a good sign to have some disbelievers. So long as people are sceptical, the rally can continue. It is only when everybody tells you to buy a particular stock or a sector that you should have second thoughts about it,’ he said.

Monk had a similar view, though he expressed it differently.

‘It is futile to fight a trend, and the trend right now is in favour of technology stocks. As to whether these stocks are worth these prices, only history will tell,’ he said. During the course of the year, I realized that Monk was quite close to Ketan. I made this inference from the stocks Monk was buying through me.

I need not have worried about being late to the new-economy party. Despite the fairly steep appreciation in stock prices, the action was just starting actually. In March 1999, Infosys raised around \$70 million from investors in the US, becoming the first Indian company to be listed on Nasdaq. In October that year, Satyam Computer Services’ subsidiary Sify raised \$74 million, listing on the New York Stock Exchange (NYSE). Wipro would join the league six months later. Indian IT companies had finally arrived on the global scene.

The unprecedented boom in technology shares over the next eighteen months would swell my net worth beyond my wildest imagination. Young traders like me had gained the most – though I must admit I was a sceptic who later converted – as we were not weighed down by baggage from the past. But our seniors were, and when share prices of software companies surged, veteran brokers predicted that the IT boom was no different from other stock market fads of the past and would end up giving grief to those cheering the sector.

Their scepticism was understandable, considering IT stocks were quoting at PE multiples far in excess of what blue chips like Reliance, ACC, Tata Steel and SBI had seen even at their peak. The veterans refused to acknowledge the new-economy companies to which the conventional approach to stock investing did not apply. In the stock market, too much experience can sometimes be a drawback rather than a virtue.

I remember one senior broker telling me: ‘Lala, what is this sudden excitement over the computer? After all, it is only a modified version of the typewriter, right? When the typewriter was invented, people had predicted it